

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MUHAMMAD RANA, *Complainant*

v.

MICHELLE FRANKLIN, D.B.A. "THE RIGHT MOVE" INC.,
Respondent.

DOCKET NO. 19-03

Served: February 12, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING MOTION FOR CLARIFICATION

On February 7, 2020, Complainant filed a motion seeking clarification of a February 6, 2020, order denying Complainant's motion for finding of facts and default decision. Complainant requests specific rulings regarding an adverse inference for Respondent's failure to provide discovery.

Complainant seeks clarity in a proceeding where the caselaw is far from clear. As one of the first cases under the Commission's revised interpretation of section 41102(c), there is limited caselaw regarding the evidence necessary to determine each of the five factors. *See* Order to Show Cause at 2 (July 25, 2019) (quoting 46 C.F.R. § 545.4). This makes the proceeding more complicated, especially where both parties are *pro se* and not represented by legal counsel.

Respondent's conduct has further complicated the proceeding. Respondent has provided only limited cooperation, for example by failing to provide complete answers to discovery even after being compelled to answer them. Respondent's conduct to date has not been sufficient for the most significant sanctions, such as default or prohibiting claims or legal defenses. However, Respondent's conduct may lead to an inference that withheld discovery responses would have been adverse to Respondent's interests as indicated in the February 6, 2020, Order.

This is essentially an adverse inference instruction which permits, but does not require, the finder of fact to draw an adverse inference. *Mali v. Federal Ins. Co.*, 720 F.3d 387, 393 (2nd Cir. 2013); *see also* Federal Rules of Civil Procedure 37(b)(2)(A)(i). Such an adverse inference is appropriate in administrative proceedings. *Atlantic Richfield Co. v. United States Dep't of Energy*, 769 F.2d 771, 794 (DC Cir. 1984). However, the prejudiced party should produce some evidence suggesting that discovery relevant to substantiating its claim would have been included among the withheld discovery. *Linde v. Arab Bank, PLC*, 269 F.R.D. 186, 196 (E.D.N.Y. 2010).

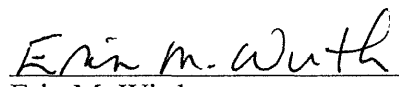
The parties have been instructed that in the briefs and findings of fact, they may argue that “a fact is supported by the failure to respond to discovery,” with a reference to the relevant discovery. Order Denying Complainant’s Motion for Finding of Facts and Default Decision at 4 (Feb. 6, 2020).

It appears that while Respondent has admitted some elements of the claim, such as the failure to pay ocean freight, she has specifically denied other elements, such as the existence of other violations. An adverse inference will not apply to discovery that Respondent answered and may not be sufficient to establish facts in the absence of any evidence suggesting that such discovery exists. No definitive findings can be made until the parties submit their briefs with legal arguments, proposed findings of fact, and appendices with all of the evidence.

The parties have been repeatedly encouraged to settle this proceeding. *See, e.g.* Order Denying Motions for Default and Summary Decision at 4 (Oct. 30, 2019) (Noting that Respondent admits that Complainant is entitled to some reimbursement and stating that settlement is “the most efficient way to resolve this dispute and the most likely way to ensure receipt of funds.”). The initial decision issued by the undersigned may be appealed by the parties or reviewed at the request of the Commission, potentially requiring additional time and effort.

If the parties reach settlement, they should sign a written agreement specifying that the agreement resolves all disputes between the parties related to the shipment at issue and outlining the terms of the settlement. Respondent should pay the settlement amount. After the settlement amount is paid, the settlement agreement must be submitted to the Office of Administrative Law Judges with a motion asking for approval of the settlement agreement. Settlement discussions, however, will not be a basis to delay the current schedule.

For the reasons discussed above, it is hereby **ORDERED** that the Complainant’s motion for clarification be **DENIED**.


Erin M. Wirth
Chief Administrative Law Judge